

when Covid-19 has already weakened sovereign balance sheets,” says Amar Ambani, Head of Institutional Equities, YES Securities. “We were already witnessing a consolidation since mid-October 2021 due to lack of fresh triggers. The Russia-Ukraine issue added a negative trigger to the existing overhang of the US Fed likely raising rates in March 2022.”

The geopolitical uncertainty coupled with the likely slowdown in the global economy and high inflation could lead to a major spike in gold prices, as central banks are left with limited legroom to raise interest rates. “We expect gold prices to shoot up and test levels of ₹54,000-₹55,000 this year, and ₹60,000-₹62,000 next year. So, on average, gold will go up at least by ₹10,000 in the next two years,” says Kunal Shah, Head of Commodities Research at Nirmal Bang.

Another area that may be impacted is defence cooperation as Russia is India’s largest supplier of weapons. A 2021 working paper released by Stimson Center, a US-based non-profit think tank, revealed that over 80 per cent of equipment and platforms in service with the Indian military were of Russian origin.

Day one of the conflict also witnessed 8 per cent of cryptocurrencies’ market capitalisation of \$1.59 trillion being wiped out. Vikram Subburaj, CEO of Giottus Crypto Exchange, believes the current crisis presents an opportunity to invest in cryptocurrencies at a lower price. “While there is a possibility of further decline, the asset class is expected to absorb large volume buys beyond another 20 per cent drop. When the pandemic hit, we witnessed one of the biggest crashes in stocks and crypto. However, both assets recovered to new all-time highs in the next 18 months.”

Researchers at crypto exchange CoinDCX believe that while crypto has historically moved inversely to traditional markets, this trend of it mirroring the market sentiment could indicate that the asset class is maturing. Moreover, the freezing

of a substantial part of the Russian central bank’s \$630-billion foreign exchange reserve stockpiles overseas together with the country’s expulsion from the financial messaging service SWIFT could give a boost to cryptocurrencies. “Cryptocurrencies like Bitcoin may get stronger on the back of economic sanctions on Russia. This would lead to the US dollar further losing its position as a global tender,” defence expert and commentator, Group Captain August Maliakal, told *Business Today*.

SEMICONDUCTORS, PHARMA AND MORE

Russia and Ukraine are both suppliers of raw materials used in semiconductor manufacturing. Russia is the leading producer of palladium, essential for memory and sensor chips. It also produces several other key raw materials for computer chips, including the rare-earth metal, scandium. And Ukraine is a leading exporter of highly purified neon gas that is used in etching circuit designs into silicon wafers to create chips. But experts are hopeful of minimal impact. “The semiconductor supply chain is largely in Asia and the US; so, it may not see a major impact in the short run except for the

negative sentiment any war naturally fosters. A long-duration conflict and a widening of the war could, of course, have far more serious consequences,” says P.N. Sudarshan, Partner & Technology, Media and Telecommunications (TMT) Industry Leader, Deloitte India.

Meanwhile, the Indian automobile sector, the world’s fifth-largest, is keeping a close watch on the developments in Ukraine. “The industry was hoping to recover from the pandemic-led demand suppression, as well as positive signs [were] visible on the semiconductor issue. This prevailing situation may lead to some adverse effects in the short term,” says Rajat Mahajan, Partner, Deloitte India. “It may increase commodity prices, especially in metals like copper, palladium (used in automotive exhaust systems) and others, leading to higher costs for the original equipment makers (OEMs).”

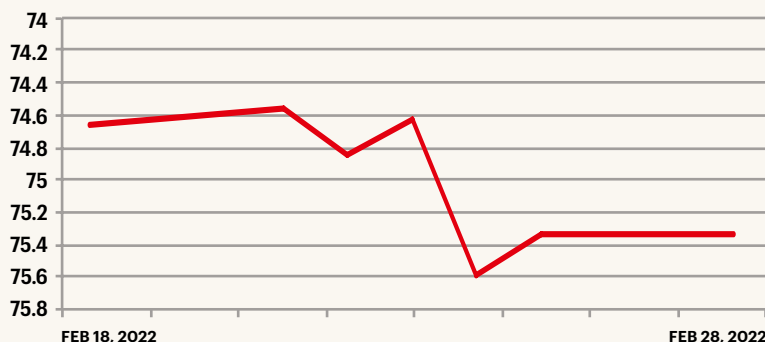
The Indian pharmaceutical industry is worried, too. According to the Pharmaceuticals Export Promotion Council of India (Pharmexcil), India exported over \$181 million worth pharmaceutical goods to Ukraine in FY21, growing nearly 44 per cent over FY20, while exports to Russia were

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CONFLICT LEADS TO FALL IN RUPEE

The spot rupee declined nearly 100 paise against the US dollar on February 24



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